



ADVANCED ACCOUNTING (110)

—Secondary—

NATIONAL – 2019

Multiple Choice and Short-Answer:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short Answer (10 @ 2 points each) _____ (20 points)

Problems:

Problem 1: Promissory Notes _____ (24 points)

Problem 2: Classified Balance Sheet _____ (33 points)

Problem 3: Closing Entries _____ (36 points)

TOTAL POINTS _____ ***(143 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short-answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when completing this assessment:

- Round all calculations to two decimals.
- Use 360 days for interest calculations.

Multiple Choice: 1 point each

- | | | |
|------|-------|-------|
| 1. B | 6. D | 11. C |
| 2. C | 7. A | 12. B |
| 3. A | 8. D | 13. C |
| 4. C | 9. C | 14. C |
| 5. D | 10. D | 15. D |

Short-Answer: 2 points each

- | | |
|-----------------------------|-----------------------------------|
| 1. O. Opportunity Cost | 6. M. Lower of Cost or Mkt (LCM) |
| 2. G. Defined Benefit | 7. J. Fund or Nonprofit |
| 3. C. Aging of Accounts Rec | 8. K. Last in First Out (LIFO) |
| 4. D. Book Value | 9. N. Maturity Value |
| 5. A. Accounts Payable | 10. Q. Post-Closing Trial Balance |



Problem 1 (24 Points)—Calculate the due date, interest, and maturing value for each of the following promissory notes. **Graders: 1 point for each cell in table, 15 total points. Note – years are *not* needed. Journal entries worth 9 points - 1 point for the date, 1 point for each account and 1 point for correct debit/credit.**

	Due Date	Interest	Maturity Value
1. \$50,000 8% 90 days dated May 15, 2019	Aug. 13, 2019	\$ 1,000	\$ 51,000
2. \$8,000 6% 60 days dated June 30, 2019	Aug. 29, 2019	80	8,080
3. \$90,000 5 ½% 120 days dated Sept. 9, 2019	Jan. 7, 2020	1,650	91,650
4. \$11,200 8% 90 days dated Sept. 15, 2019	Dec. 14, 2019	224	11,424
5. \$190,000 6% 60 days dated Nov. 28, 2019	Jan. 27, 2020	1,900	191,900

This company uses the calendar year as their fiscal year. Two of the notes above will cross over the year end. The interest on these two notes will need to be accrued in an adjusting entry. Record the two adjusting entries in the journal below. (Round all answers to the nearest cent).

General Journal

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Date	Description	Post Ref	Debit	Credit
	<u>Adjusting Entries</u>			
12/31	Interest Expense		1,553.75	
	Interest Payable			1,553.75
	Interest Expense		1,045.00	
	Interest Payable			1,045.00
	**Note – This could be put into one entry – amount would total \$2,598.75 **			



Problem 2 (33 Points)—Prepare a Classified Balance Sheet using the Adjusted Trial Balance for Sorenson Corporation. Net income for the year was \$ 94,420. The format is located on the next page. **Graders – The title is worth 3 points. Each bolded number is worth 1 point each for a total of 30 points. Total points 33 points. Please note the word units does *not* have to be included in the answer.**

Sorenson Corporation
Balance Sheet
September 30, 2019

<u>Assets</u>			
Current Assets:			
Cash		150,700	
Accounts Receivable		213,000	
Inventory		34,100	
Prepaid Insurance		13,200	
Total Current Assets			411,000
Plant Assets (PPE):			
Land		1,450,000	
Building	850,000		
Less Accumulated Depr – Bldg	(160,000)	690,000	
Vehicles	180,000		
Less Accumulated Depr – Veh	(108,000)	72,000	
Equipment	1,800,000		
Less Accumulated Depr – Equip	(265,000)	1,535,000	
Total Plant Assets			3,747,000
Total Assets			4,158,000
<u>Liabilities</u>			
Current Liabilities:			
Accounts Payable		50,010	
Salaries and Wages Payable		76,156	
Unearned Rent		30,000	
Current Portion of Long-Term Debt		61,834	
Total Current Liabilities			218,000
Long Term Liabilities:			
Mortgage Note Payable			800,000
Total Liabilities			1,018,000
<u>Stockholders' Equity</u>			
Paid in Capital:			
Common Stock \$10 Par			
(10,000 Authorized, 9,000 Issued)	90,000		
Paid in Capital from Sales of Common	1,200,000		
Total Paid in Capital		1,290,000	
Retained Earnings		1,850,000	
Total Stockholders' Equity			3,140,000
Total Liabilities and Stockholders' Equity			4,158,000



Problem 3 (36 Points)—Prepare the Closing Entries using the Adjusted Trial Balance for Sorenson Corporation. The journal is located on the next page.

Graders – Each journal entry is worth 2 points each. One point for the account, and one point for the correct debit/credit amount. 36 total points.

General Journal

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Date	Description	Post Ref	Debit	Credit
	<u>Closing Entries</u>			
9/30/18	Sales		1,155,000	
	Income Summary			1,155,000
	Income Summary		1,060,580	
	Purchases			580,000
	Salary and Wages Expense			320,000
	Utilities Expense			67,000
	Depreciation Expense – Building			10,000
	Depreciation Expense – Vehicles			5,000
	Depreciation Expense – Equipment			3,900
	Repairs Expense			3,100
	Insurance Expense			2,800
	Supplies Expense			1,500
	Tax Expense			67,080
	Miscellaneous Expense			200
	Income Summary		94,420	
	Retained Earnings			94,420
	Retained Earnings		90,000	
	Cash Dividends			90,000